ACADEMIC CENTRAL

PRACTICE EXAMINATION

GRADE 8

ECONOMIC AND MANAGEMENT SCIENCES

PAPER 1 · PRACTICE D · MARKING GUIDELINE

MARKS: 100

Marking guideline for the Academic Central Grade 8 Economic and Management Sciences paper 1 · practice d.

Written by Academic Central for practice, following the CAPS curriculum for Grade 8. It is not a Department of Basic Education marking guideline.

How to mark: each ✓ is one mark. Accept other correct examples and answers in the learner's own words. In journals, award marks for correct amounts in the correct places and for correct totals; do not penalise twice for the same error.

SECTION A

QUESTION 1

1 1.1 C ✓ 1.2 A ✓ 1.3 D ✓ 1.4 A ✓ 1.5 B ✓ 1.6 C ✓ 1.7 B ✓ 1.8 A ✓ 1.9 D ✓ 1.10 B ✓ (10)

QUESTION 2

2.1 False ✓ – public ✓ (2)

2.2 True ✓✓ (2)

2.3 True ✓✓ (2)

2.4 True ✓✓ (2)

2.5 False ✓ – informal ✓ (2)

TOTAL SECTION A: [20]

SECTION B

QUESTION 3

3.1 National ✓ – e.g. defence, police, foreign affairs, national roads, home affairs ✓. Provincial ✓ – e.g. schools, hospitals, provincial roads ✓. Local (municipal) ✓ – e.g. water, electricity, refuse removal, street lights, parks ✓. (6)

3.2 A direct tax is paid directly to SARS on income or wealth by the person who earns it ✓, e.g. personal income tax (PAYE), company tax ✓. An indirect tax is included in the price of goods and services and paid by the buyer when buying ✓, e.g. VAT, fuel levy, excise duty ✓. (4)

3.3 (a) Final goods and services that households buy, e.g. food and clothing ✓ (b) The factors of production, e.g. labour, land, capital ✓ (c) Money: savings, loans, shares and investments ✓ (3)

3.4.1 The concert ticket ✓ (1)

3.4.2 Her money (resources) is limited / scarce ✓, but she wanted more than she could pay for, so she could not have both ✓. (2)

3.5 Any TWO differences ✓✓ ✓✓, e.g. the public sector is owned and run by the government; the private sector is owned by individuals and businesses. The public sector's main aim is to provide services to all citizens; the private sector's main aim is to make a profit. The public sector is paid for by taxes; the private sector by the owners' capital and sales. (4)

3.6 Any TWO ✓✓: to pay for public goods and services (schools, hospitals, police, roads); to pay social grants; to pay government workers; to redistribute income to the poor; to pay back government debt (2)

3.7 Employed people earn an income ✓, so they can buy more goods and services such as food, housing, education and health care ✓; they also pay taxes that the government can use to improve services for everyone ✓. (3)

[25]

SECTION C

QUESTION 4

4.1 (a) Asset ✓ (b) Liability ✓ (c) Owner's equity ✓ (d) Expense ✓ (e) Income ✓ (f) Asset ✓ (6)

4.2 Cash Receipts Journal of Green Thumb – May 2026

Doc	Day	Details	Bank	Current income	Sundry: Amount	Sundry: Details
Rec 1	1	S. Dlamini	6 000		6 000 ✓	Capital ✓
Rec 2	8	Mrs Naidoo	1 200	1 200 ✓		
Rec 3	20	Sunset Flats	2 400	2 400 ✓		
			9 600 ✓	**3 600 ✓**	**6 000**	

Cash Payments Journal of Green Thumb – May 2026

Doc	Day	Name of payee	Bank	Wages	Consumable stores	Sundry: Amount	Sundry: Details
EFT 1	3	Garden World	3 500			3 500 ✓	Equipment ✓
EFT 2	12	Fuel Stop	380		380 ✓		
EFT 3	15	Assistant	1 000	1 000 ✓			
EFT 4	26	Local newspaper	250			250 ✓	Advertising ✓
EFT 5	30	Assistant	1 000	1 000 ✓			
			6 130 ✓	**2 000 ✓**	**380**	**3 750 ✓**	

CRJ 6 marks and CPJ 10 marks as ticked.

(16)

4.3 (a) $\text{Income} = \text{R1 200} + \text{R2 400} = \text{R3 600}$ ✓ (b) $\text{Expenses} = \text{R380} + \text{R2 000} + \text{R250}$ ✓ $= \text{R2 630}$ ✓ (c) $\text{R3 600} - \text{R2 630}$ ✓ $= \text{R970 profit}$ ✓ (5)

4.4 $\text{R9 600} - \text{R6 130}$ ✓ $= \text{R3 470}$ ✓ (2)

4.5 The lawnmower is an asset (equipment) ✓ that the business will use for a long time to earn income; it is not used up in one month ✓. (2)

4.6 Any TWO ✓✓ ✓✓: they prove that a transaction took place; they are used to record transactions in the journals; they help to check for mistakes and prevent fraud / theft; they are needed by SARS and auditors. (4)

[35]

SECTION D

QUESTION 5

5.1.1 Sole trader ✓ (1)

5.1.2 Advantage ✓, e.g. easy and cheap to start; the owner makes all the decisions; the owner keeps all the profit. Disadvantage ✓, e.g. unlimited liability; all the work and risk rest on one person; difficult to raise capital. (2)

5.1.3 Strength: lower prices / loyal clients / she goes to clients' homes ✓. Weakness: no car / no advertising ✓. Opportunity: space for small businesses in the new mall ✓. Threat: the salon in the shopping centre / rainy weather ✓. (4)

5.1.4 Any TWO ✓✓: a free social media page or WhatsApp business status; business cards or flyers; word of mouth / asking clients to refer friends; a notice on community boards (2)

5.2 Any TWO ✓✓: high unemployment, so people create their own work; it is easy to start with little money; no formal qualifications are needed; people need an income to survive (2)

5.3 Any THREE ✓✓✓: identify problems or needs in the community; hobbies and skills; brainstorming; surveys / talking to people; looking at trends and what other countries do; improving an existing product (3)

5.4 Satisfied customers come back and tell others about the business ✓, which increases sales and profit; unhappy customers go to competitors ✓. (2)

5.5 Any TWO ✓✓: willing to take risks; creative; hard-working; confident; good leader; does not give up (persistent); good with money. Explanation of ONE ✓✓, e.g. persistence is important because many businesses struggle at first, and only those who keep going succeed. (4)

[20]

TOTAL: 100

END OF MARKING GUIDELINE